

JAM Construction - Legal & Compliance Checklist

Business Formation & Registration

Entity Formation

- ☐ LLC Articles of Organization filed with MN Secretary of State
- ☐ Operating Agreement executed
- ☐ Federal EIN obtained from IRS
- ☐ State Tax ID obtained from MN Department of Revenue
- ☐ Registered Agent designated (if required)
- ☐ Initial registered office address established
- ☐ Initial list of members/managers filed (if required)

Business Licensing

- ☐ City of Minneapolis Business License obtained
- ☐ MN Department of Labor and Industry Contractor License (if required)
- ☐ Professional licenses for key personnel (if required)
- ☐ Sales Tax Certificate (if applicable)
- ☐ Zoning permits for business location (if applicable)
- ☐ Home occupation permit (if operating from residence)

Insurance Requirements

Required Insurance Coverage

- ☐ General Liability Insurance (\$1M-\$2M minimum)
- ☐ Professional Liability/Errors & Omissions Insurance
- ☐ Workers' Compensation Insurance (if employees hired)
- ☐ Commercial Auto Insurance (if company vehicles)
- ☐ Cyber Liability Insurance (for digital data protection)
- ☐ Directors & Officers Insurance (if applicable)

Insurance Management

- ☐ Certificate of insurance maintained for all policies
- ☐ Annual policy reviews scheduled
- ☐ Coverage limits evaluated annually
- ☐ Claims procedures understood and documented
- ☐ Insurance certificates provided to clients when required

Contract Management

Standard Contract Templates

- ☐ Estimating Services Agreement template

- ☐ Scope of Work template
- ☐ Terms and Conditions template
- ☐ Confidentiality/NDA template
- ☐ Payment Terms template
- ☐ Limitation of Liability clauses

Contract Administration

- ☐ Contract review checklist
- ☐ Approval process for non-standard terms
- ☐ Contract tracking system
- ☐ Renewal notification system
- ☐ Dispute resolution procedures
- ☐ Termination procedures

Employment Law Compliance

Hiring Practices

- ☐ Equal Employment Opportunity compliance
- ☐ I-9 employment verification procedures
- ☐ Background check policies (if applicable)
- ☐ Drug testing policies (if applicable)
- ☐ Anti-harassment policies
- ☐ Wage and hour law compliance

If Hiring Employees

- ☐ Minnesota new hire reporting
- ☐ Unemployment insurance registration
- ☐ Workers' compensation coverage
- ☐ Payroll tax withholding procedures
- ☐ Employee handbook (if applicable)
- ☐ Performance review procedures

Tax Compliance

Federal Tax Obligations

- ☐ Federal tax filing schedule understood
- ☐ Quarterly estimated tax payment schedule
- ☐ Employment tax obligations (if applicable)
- ☐ Sales tax collection and remittance (if applicable)
- ☐ Tax deduction tracking system
- ☐ Annual tax planning procedures

State Tax Obligations

- ☐ MN Corporate Income Tax (if applicable)
- ☐ MN Sales Tax obligations
- ☐ MN Employment Security Law compliance
- ☐ MN Workers' Compensation requirements
- ☐ Annual franchise tax filings
- ☐ Quarterly tax payment schedule

Construction Industry Compliance

Prevailing Wage Requirements

- ☐ MN Prevailing Wage Law compliance procedures
- ☐ Current wage determinations for all counties served
- ☐ Certified payroll procedures
- ☐ Record keeping requirements
- ☐ Audit preparation procedures
- ☐ Penalty avoidance measures

Public Works Compliance

- ☐ MN Public Works regulation compliance
- ☐ Bonding requirements understanding
- ☐ Lien law compliance
- ☐ Notice requirements for public projects
- ☐ Contract compliance monitoring
- ☐ Documentation procedures

Government Contracting Compliance

Certification Requirements

- ☐ MNUCP (Minnesota Unified Certification Program) application
- ☐ DBE (Disadvantaged Business Enterprise) certification (if applicable)
- ☐ SBE/WBE certification application
- ☐ City of Minneapolis SUBE registration
- ☐ Annual recertification procedures
- ☐ Compliance reporting requirements

Contract Compliance

- ☐ Good Faith Effort requirements (for prime contractors)
- ☐ Subcontractor compliance monitoring
- ☐ Goal achievement reporting
- ☐ Audit preparation procedures
- ☐ Record retention requirements
- ☐ Conflict of interest policies

Financial Compliance

Banking & Finance

- ☐ Business banking relationships established
- ☐ Separation of business and personal finances
- ☐ Proper bookkeeping procedures
- ☐ Financial reporting procedures
- ☐ Audit preparation procedures
- ☐ Bonding application preparation

Accounting Procedures

- ☐ Chart of accounts established
- ☐ Monthly closing procedures
- ☐ Financial statement preparation
- ☐ Tax preparation procedures
- ☐ Internal control procedures
- ☐ Document retention policies

Safety & Environmental Compliance

Workplace Safety

- ☐ OSHA compliance procedures
- ☐ Safety training programs
- ☐ Incident reporting procedures
- ☐ Safety inspection schedules
- ☐ Emergency procedures
- ☐ Safety documentation requirements

Environmental Compliance

- ☐ Environmental regulation compliance
- ☐ Hazardous material handling procedures
- ☐ Waste disposal procedures
- ☐ Environmental audit procedures
- ☐ Environmental insurance coverage
- ☐ Environmental incident response

Data Protection & Privacy

Information Security

- ☐ Data protection policies
- ☐ Client confidentiality procedures
- ☐ Cybersecurity measures
- ☐ Data backup procedures

- ☐ Incident response procedures
- ☐ Privacy policy implementation

Client Data Protection

- ☐ Confidentiality agreements with staff
- ☐ Secure data storage procedures
- ☐ Data access controls
- ☐ Data retention and destruction policies
- ☐ Client consent procedures
- ☐ Breach notification procedures

Ongoing Compliance Monitoring

Annual Requirements

- ☐ Annual report filing (MN Secretary of State)
- ☐ Business license renewal
- ☐ Insurance policy renewal
- ☐ Certification renewal (if applicable)
- ☐ Tax return filing
- ☐ Bond renewal (if required)

Quarterly Requirements

- ☐ Tax payment deadlines
- ☐ Insurance premium payments
- ☐ Financial reporting
- ☐ Compliance review
- ☐ Policy updates
- ☐ Training updates

Monthly Requirements

- ☐ Payroll tax deposits (if applicable)
- ☐ Financial reconciliations
- ☐ Compliance monitoring
- ☐ Policy review
- ☐ Procedure updates
- ☐ Documentation maintenance

Professional Resources

Legal Counsel

- ☐ Business attorney relationship established
- ☐ Legal service retainer (if applicable)
- ☐ Legal consultation schedule

- ☐ Legal review procedures
- ☐ Legal expense budget
- ☐ Legal document templates

Accounting & Tax Professionals

- ☐ CPA relationship established
- ☐ Tax preparation procedures
- ☐ Accounting review schedule
- ☐ Financial planning services
- ☐ Audit preparation procedures
- ☐ Tax strategy development

Insurance Professionals

- ☐ Insurance broker relationship
- ☐ Annual coverage review
- ☐ Claims handling procedures
- ☐ Risk assessment procedures
- ☐ Coverage adjustment processes
- ☐ Premium payment management

This comprehensive legal and compliance checklist ensures that JAM Construction maintains all required licenses, follows all applicable laws, and protects the business from potential legal issues.